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Global Macro Commentary | Global

August 7: Soft Jobs Lift Risk Assets

US payrolls unexpectedly decline in July; Fed hike pricing recedes; Treasuries bull-steepen; USD weakens broadly; gold rallies; EM FX strengthens; DXY at 99.62 (-0.3%); US 10y at 4.65 (-3.2bp).

Weak US labor data reduced near-term Fed tightening expectations, supporting a front-end-led Treasury rally, broad USD weakness, and a risk-on move across equities and EM currencies.

Developed Markets

- US rates bull-steepen (2y: -5.0bp; 30y: -2.3bp) after July nonfarm payrolls unexpectedly decline by 23k, versus expectations for an increase, while the prior two months are revised lower by a net 103k.** The unemployment rate nevertheless falls to 4.1%, reflecting in part a decline in labor-force participation and leaving a mixed signal for the Fed. Market participants reduce expectations for near-term tightening, with the front end and belly leading the Treasury rally and the 10y yield falling 3.2bp to 4.65%. The initial rally later pares as investors assess whether weakness in government and leisure-related employment partly reflects seasonal distortions. Fed officials remain divided over the appropriate policy path, leaving upcoming inflation data as an important input into the September decision.
- US equities rise alongside lower yields, with growth-sensitive sectors outperforming and energy lagging (S&P 500: +0.6%; NASDAQ: +1.3%; IT: +1.3%; Consumer Discretionary: +1.3%; Energy: -1.2%).** The softer payroll print reduces immediate pressure on the Fed to tighten further, supporting duration-sensitive equities even as the unemployment rate remains low. Materials lead sector gains (+1.5%), while health care rises 0.8% and financials decline 0.3%. VIX falls 1.7% to 14.90, consistent with the broader improvement in risk sentiment. Separately, the administration [reportedly](#) moves forward with another attempt to remove Fed Governor Cook, giving her until August 26 to respond to allegations that she disputes. The development renews attention on Fed institutional independence, though the rates move remains dominated by the labor report.
- The dollar weakens broadly as US yields fall and expectations for an imminent Fed hike recede (DXY: -0.3%).** EUR strengthens 0.3% against USD, while GBP gains 0.3% and CHF gains 0.5%. AUD and NZD outperform among the higher-beta G10 currencies (AUD/USD: +0.5%; NZD/USD: +0.4%), consistent with the improvement in risk sentiment. CAD also strengthens 0.5% against USD, supported by Canadian employment rising 75.1k in July and

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the unemployment rate falling to 6.4%, according to the provided news flow. The dollar reaches its weakest level in several weeks following the payroll release as rate differentials move against USD. Precious metals also benefit from the combination of lower yields and dollar weakness (gold: +2.4%; silver: +3.3%).

- **Following the weakness in U.S. Treasuries overnight, JGBs opened cheaper in Tokyo morning session.** While the long end retraced some of its cheapness, the short- to medium term sector continued to underperform. Despite the lack of any clear new catalyst, selling pressure intensified during the Tokyo afternoon session. With summer conditions weighing on market liquidity, pricing for additional BoJ tightening continued to build, with the implied terminal rate moving above 2%. In contrast, the super-long sector remained relatively resilient. As a result, JGB curve bear-flattened; the 5y JGB sold off by 5.0bp to 2.075%, 10y JGB sold off by 3.5bp to 2.795%, 30y JGB sold off by 1.0bp to 3.91% on a simple yield basis. TONA-OIS curve also bear flattened and outperformed JGBs in 5-10y sectors. USD/JPY traded largely sideways during Tokyo hours. With no fresh catalyst and the U.S. employment report looming, market participants appeared reluctant to take meaningful positions. Following the release of the U.S. jobs data, USD/JPY briefly fell to 156.68, as payroll growth came in significantly below consensus expectations despite an improvement in the unemployment rate. However, the pair subsequently retraced more than half of the initial decline.
- **EGBs richened in the London session despite slightly rising oil prices.** The main catalyst for the rally was the far weaker-than-expected nonfarm pay rolls data and the resulting spill-over from the US. Upon arrival of the data point, EGBs rallied while later giving back some of the gains in the afternoon session. German 2y and 5y closed the day ~1bp lower while cash curves steepened modestly. EGB spreads to Germany tightened on the day, with the 10y BTP/Bund tightening ~1bp. In the swap space, curves changed only marginally with a slight steepening bias. Inflation swaps closed higher again, mostly in the short end and belly where the 1y point closed ~7bp higher while the 5y point closed ~3bp higher. Near-term policy rate expectations for the ECB remained roughly stable over the day. Also in the UK, Gilts rallied with the short end closing ~2bp lower. In contrast to the euro area, inflation swaps moved only marginally and, if anything, closed lower in the short end. Interest rate expectations for the next three BoE meetings remained roughly unchanged over the day.

Emerging Markets

- **Most AxJ currencies appreciated through the Asia session while rates sold off amid a 0.9% decline in oil prices and ahead of the US July NFP release.** KRW outperformed, gaining 0.5% to ~1416 per USD as a large semi company [announced](#) KRW54tr investment in local semi fabs, KOSPI fell 0.6%, and equities saw modest \$784mn of foreign outflows. Korea rates sold off with the KRW NDIRS curve shifting ~2bp higher following the Thursday overnight

sell-off in US rates. IDR gained 0.2% and 10y IndoGB yield remained steady amid unconfirmed [reports](#) that BI Acting Governor Damayanti was the leading contender to take on the governor role permanently.

- **THB strengthened 0.2% as gold prices rallied 1.7%, while Thailand rates remained broadly steady.** USD/CNH remained largely stable while China rates outperformed with 5y CNY NDIRS yield falling 1bp despite stronger-than-expected July exports. PHP underperformed, weakening ~0.2% after 2Q26 GDP growth came in below consensus expectations, while 10y RPGB yield rose 3bp. TWD also weakened 0.2% amid \$1.3bn of foreign equity outflows and a 0.4% decline in TAIEX.
- **LatAm assets traded mixed after US employers unexpectedly cut jobs in July, driving a rally in USTs and supporting regional assets.** Colombian markets were closed for a holiday as Abelardo de la Espriella was [inaugurated](#) as president. FX in the region traded stronger, with BRL outperforming, appreciating ~0.50%, while COP lagged, depreciating ~0.04%. Rates in the region rallied in line with USTs, led by the Brazilian DI curve, where Jan 29s moved ~7bp lower, partially reversing yesterday's sell-off. In Peru, Economy Minister Elmer Cuba [said](#) the government is considering raising the fiscal deficit ceiling by a few tenths of GDP and increasing the debt ceiling to 32% of GDP from 30% next year, amid fiscal pressures from El Niño and higher public-sector pensions.
- **CEEMEA currencies strengthen alongside the global USD move, led by HUF and ZAR.** Hungary's forint gains 0.9% against USD and 0.6% against EUR, while PLN strengthens 0.4% against USD and 0.1% against EUR. South Africa's rand gains 1.3%, with the provided news flow also showing local sovereign yields moving lower as the global rates rally and higher gold prices improve the external backdrop. ILS strengthens 0.6% to 3.00 per USD, while CZK gains 0.3% against USD and is broadly unchanged versus EUR. Regional moves are therefore directionally consistent with the broad reduction in US rate-hike expectations and improvement in EM risk appetite.

Central Bank Monitor

Developed Markets

- In the US, **Richmond Fed President Thomas Barkin** described the job market as in a "weak balance," characterized by low hiring and low firing, with July's employment data coming in below expectations. He does not see wage inflation at present and views the unemployment rate as the best measure of labor market health. He confirmed the Fed will get inflation back to 2% and expressed agreement with Fed Chair Warsh that returning inflation to target is non-negotiable. He still hears significant concern about inflation and cost pressures from

business contacts. On AI, Barkin said it remains unclear how much AI is affecting broad productivity levels, suggesting the macro impact has not yet been definitively established.

Exhibit 1: G4 Rates Closes

Tenor	US			Germany			UK			Japan		
	7-Aug	1d Δ (bp)	2wk	7-Aug	1d Δ (bp)	2wk	7-Aug	1d Δ (bp)	2wk	7-Aug	1d Δ (bp)	2wk
2y	4.195	(5.0)		2.747	(1.1)		4.279	(1.7)		1.602	3.5	
3y	4.259	(4.6)		2.760	(1.4)		4.372	(1.6)		1.804	3.5	
5y	4.352	(4.4)		2.861	(1.3)		4.466	(1.4)		2.069	3.9	
7y	4.492	(4.0)		2.961	(1.2)		4.641	(1.7)		2.499	3.0	
10y	4.645	(3.2)		3.131	(0.8)		4.920	(1.7)		2.788	1.9	
20y	5.207	(2.3)		3.565	(0.3)		5.574	(1.9)		3.653	0.6	
30y	5.201	(2.3)		3.639	0.0		5.663	(1.7)		3.911	(0.5)	

Source: Bloomberg, Morgan Stanley Research

Exhibit 2: Macro Closes

Majors				EM				Equities / Commodities			
Spot	7-Aug	1d Δ (%)	2wk	Spot	7-Aug	1d Δ (%)	2wk	Index	7-Aug	1d Δ (%)	2wk
DX	99.62	(0.3)		CNH	6.74	(0.1)		S&P	7757.64	0.6	
EUR	1.156	0.3		INR	95.21	(0.0)		Stoxx	6523.86	0.3	
GBP	1.349	0.3		THB	33.05	(0.0)		FTSE	10901.09	0.3	
JPY	157.76	(0.4)		KRW	1410.00	(1.0)		Nikkei	65606.71	(0.1)	
CHF	0.808	(0.5)		ZAR	16.15	(1.3)		VIX	14.90	(1.7)	
AUD	0.707	0.5		MXN	17.14	(0.4)		Gold (\$)	4341.56	2.4	
CAD	1.394	(0.5)		BRL	5.08	(0.6)		WTI (Fut)	77.30	0.0	

Source: Bloomberg, Morgan Stanley Research

Exhibit 3: Inflation Closes

US TIPS				10y Real Yields, BEI							
Tenor	7-Aug	1d Δ (bp)	2wk	10y	7-Aug	1d Δ (bp)	2wk	10y	7-Aug	1d Δ (bp)	2wk
5y	2.108	(4.7)		DBRi	0.951	(3.7)		BTPi	1.868	(5.0)	
BEI	2.230	0.3		BEI	1.975	2.5		BEI	2.031	3.1	
10y	2.389	(4.0)		UKTi	1.748	(1.4)					
BEI	2.254	0.6		BEI	3.173	(0.3)					
30y	2.979	(2.6)		JGBi	0.815	(0.3)					
BEI	2.225	0.2		BEI	1.964	2.1					

Source: Bloomberg, Morgan Stanley Research

Exhibit 4: G4 Central Banks

Central Bank OIS				Central Bank OIS				Central Bank OIS				Central Bank OIS			
Fed	Implied	1d Δ (bp)	Total Δ	ECB	Implied	1d Δ (bp)	Total Δ	BOE	Implied	1d Δ (bp)	Total Δ	BOJ	Implied	1d Δ (bp)	Total Δ
EFFR (8/6)	3.630	0.0	—	ECB (8/6)	2.185	0.0	—	SONIA (8/6)	3.732	0.0	—	TONAR (8/6)	0.980	0.0	—
09/16/26	3.741	3.8	(3.4)	09/10/26	2.400	2.4	(0.5)	07/30/26	3.734	3.7	0.0	07/31/26	0.995	0.0	1.5
10/28/26	3.803	3.8	(4.5)	10/29/26	2.442	2.5	(1.2)	09/17/26	3.781	3.8	(1.2)	09/18/26	1.141	0.3	16.1
12/09/26	3.914	4.0	(5.8)	12/17/26	2.546	2.6	(0.6)	11/05/26	3.883	3.9	(2.1)	10/30/26	1.218	(0.3)	23.8
01/27/27	3.953	4.0	(6.0)					12/17/26	3.978	4.0	(2.4)	12/18/26	1.333	1.0	35.3
								02/04/27	4.064	4.1	(1.9)				
								03/18/27	4.117	4.2	(3.7)				

Source: Bloomberg, Morgan Stanley Research

Economic Releases

Developed Markets

- US July Change in Nonfarm Payrolls:** -23.0k (MSe:70k; C:80k; P:57k). The 23k decline in payrolls was exaggerated by state education payrolls, but private payrolls also slowed including downward revision to recent months. They suggest the moderation in labor demand that we have been expecting. However, labor supply also fell, with a further decline in LFPR and a drop in the unemployment rate to 4.1% from 4.2%. With slowing in private payrolls (40k per month average over the past three months), we do not expect

further downward pressure on the unemployment rate. For the Fed, mixed signals, but we think the Fed will pay more attention to the slowdown in labor demand.

- **Germany June Industrial Production (incl. Construction):** +0.2% m/m (MSe: 0.5% m/m; C: ; P: 0.9%, revised to 0.7%). Industrial production came in in line with the survey median but well below the prior reading, with the prior also revised down to +0.7%. The year-over-year print slipped to -0.1%, the first negative reading since earlier in the year, suggesting the momentum in manufacturing orders has yet to fully translate into output gains.
- **Germany June Trade Balance; Exports; Imports: Trade Balance:** €15.4bn (MSe: €18.5bn; C: ; P: €19.1bn); **Exports:** +0.9% m/m (MSe: 0.5% m/m; C: ; P: 0.9%, revised to 1.1%); **Imports:** +4.4% m/m (MSe: 1.0% m/m; C: ; P: -2.5%, revised to -2.6%). The trade balance came in well below both the prior and the survey median, as a sharp rebound in imports — more than four times the consensus estimate — more than offset solid export growth. Exports matched the prior pace and beat the survey median, but the surge in imports, likely a partial reversal of May's steep drop, compressed the surplus meaningfully.
- **Canada July Net Change in Employment; Unemployment Rate: Net Change in Employment:** +75.1k (C: 20.0k; P: 18.2k); **Unemployment Rate:** 6.4% (C: 6.5%; P: 6.5%). A [significant beat](#) on employment, with the gain split between full-time (+39k) and part-time (+37k) positions. The unemployment rate fell to 6.4%, its third consecutive monthly decline and a cumulative 0.5 percentage point drop since April, reaching a two-year low, with participation rising and the labor force expanding. Services-producing employment drove the bulk of the gains (+64k), led by wholesale and retail trade (+21k), finance, insurance and real estate (+18k), and professional, scientific and technical services (+17k), while goods-producing sectors added 11k. Notable drags came from public administration (-15k), information, culture and recreation (-5k), and accommodation and food services (-4k). Cumulatively, employment has risen 181k since April, with all net gains in that period being full-time positions.

Emerging Markets

- **China July Exports:** 23.9% y/y (MSe: 22.0%; C: 23.0%; P: 27.0%); **Imports:** 27.5% y/y (MSe: 27.0%; C: 29.7%; P: 36.0%); **Trade Balance:** \$112.5bn (C: \$107.1bn; P: \$125.6bn); **Foreign Reserves:** \$3.42tr (C: \$3.43tr; P: \$3.42tr)
- **Philippines 2Q26 GDP:** 2.3% y/y (MSe: 2.5%; C: 2.9%; P: 2.8%)
- **Indonesia July FX Reserves:** \$145.3bn (P: \$145.6bn)
- **Malaysia July 31 FX Reserves:** \$132.1bn (P: \$131.8bn)
- **Thailand July 31 FX Reserves:** \$275.4bn (P: \$272.6bn)
- **Taiwan July Exports:** 32.9% y/y (MSe: 48.9%; C: 40.6%; P: 40.3%); **Imports:** 37.4% y/y (MSe: 45.5%; C: 50.1%; P: 51.8%); **Trade Balance:** \$17.2bn (MSe: \$22.7bn; C: \$15.7bn; P: \$12.2bn)
- **Hong Kong July FX Reserves:** \$447.8bn (P: \$445.9bn)
- **Singapore July FX Reserves:** \$427.9bn (P: \$426.3bn)
- **Philippines July FX Reserves:** \$103.4bn (P: \$104.7bn)

- **Chile July CPI:** 0.10% m/m (Mse: 0.11% m/m; P: 0.00%; C: 0.1%). Headline inflation was broadly in line with our economists' [expectations](#), but the composition was less benign, with core inflation at +0.46% m/m as services and core food surprised higher. Energy provided a significant offset, led by sharp declines in gasoline and diesel, while annual inflation fell to 3.53% from 4.34%. Overall, the print does not change our economists' benign inflation view.
- **Mexico 2H July CPI:** 0.11% 2H/1H (Mse: 0.11%; P: 0.07%; C: 0.11%). Headline was in line with our economists' [expectations](#), while core inflation remained contained despite some pressure from services. Non-core inflation was driven by agriculture, particularly higher onion prices, while energy was flat. The composition remains consistent with Banxico's pause-and-monitor stance.

The Day Ahead

Developed Markets

- 7:00am BST - **Norway July CPI** (MSe: 3.0% y/y; P: 2.7%); **CPI-ATE** (MSe: 3.0% y/y; P: 2.7%). We expect goods inflation to rebound in July after a downside surprise in June, driven by IT equipment and seasonal price increases for food. Imported goods should remain weak due to krone strength pass-through. Services should also pick up due to seasonal factors (air fares and package holidays).
- 3:00pm ET - **US Cleveland Fed President Beth M. Hammack** Appears on Yahoo Finance.

Emerging Markets

- Sunday, 9:30am HKT – **China July PPI** (MSe: 4.1% y/y; C: 3.9%; P: 4.1%); **CPI** (MSe: 0.8% y/y; C: 0.8%; P: 1.0%); **Core CPI** (C: 1.0% y/y; P: 1.0%)
- Monday, 11:00am HKT – **Indonesia July Consumer Confidence Index** (P: 117.8)
- 7:00pm ET - **Colombia July CPI** (Mse: 0.22% m/m; P: 0.39%) Our economists [expect](#) inflation to be driven by services ex regulated and rent, alongside rent indexation, with food and energy providing a partial offset. Focus will be on the services composition and its implications for BanRep policy expectations.

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Global Stock Ratings Distribution

(as of July 31, 2026)

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Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1529	42%	442	47%	29%	750	43%
Equal-weight/Hold	1582	43%	396	42%	25%	773	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	560	15%	97	10%	17%	217	12%
Total	3,674		936			1741	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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